



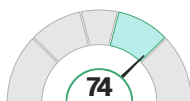
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You can make your Mercedes EV go faster for \$60 a month

By Peter Valdes-Dapena, CNN Business

Updated 9:26 PM EDT, Thu April 27, 2023



The new Mercedes-Benz EQS is a game changer

03:03 - Source: [CNN](#)

(CNN) — Mercedes-Benz electric vehicle owners in North America who want a little more power and speed can now buy 60 horsepower for just \$60 a month or, on other models, 80 horsepower for \$90 a month.

They won't have to visit a Mercedes dealer to get the upgrade either, or even leave their own driveway. The added power, which will provide a nearly one second decrease in zero-to-60 acceleration, will be available through an over-the-air software patch.

Buyers can bypass the monthly subscription completely however, and opt for an annual subscription payment or simply pay a one-time flat fee. For instance, a buyer could take an all-wheel-drive Mercedes-Benz EQE 350 sedan from its standard 288 horsepower to 348 permanently for \$1,950.

These upgrades are a booming business for car companies. Mercedes is not alone in offering upgrades, or even new features, through over-the-air updates, similar the way software and capabilities can be added on phones. Tesla has offered additional driving assistance features and even added range through software downloads. In some markets, BMW has offered heated seats as a downloadable add-on.

Various automakers have touted the potential for recurring revenue from subscription features like this. General Motors chief executive Mary Barra has said she hopes for GM to bring in as much as \$20 billion to \$25 billion annually from subscriptions by 2030. Stellantis has also said it plans to generate billions of dollars from subscriptions. Mercedes executives have said in the past they expect the German luxury automaker to make more than \$1 billion annually from software subscriptions.

The power-unleashing software upgrades are available through the Mercedes Me online store in the vehicles. The power upgrade subscription is offered only in the US currently – laws in other countries forbid changes to the vehicle's powertrain after it's been purchased. The upgrades do not change how far the vehicles can drive on a charge, according to Mercedes, assuming normal driving.



Peter Valdes-Dapena/CNN

Owners of the Mercedes -Benz EQS sedan will now be able to download more horsepower.

Subscription upgrades like this would never allow owners of entry- or mid-level models to approach the power levels of more expensive upper-level models, said Markus Rossmann, manager for connected car and digital sales at Mercedes-Benz USA. The owner of a 516-horsepower Mercedes EQS 580 needn't worry that a neighbor's EQS 450 might go faster

Features that are already available on a subscription basis from the automaker include navigation, remote start, theft and damage notification, and "valet model" that temporarily reduces peak horsepower and locks out private data screens. These feature are included in a separate single package that can be purchased on an annual or monthly basis.

The availability of downloadable upgrades and features allows Mercedes customers to continuously customize their vehicles to fit changing needs and preferences, Mercedes said in an announcement.

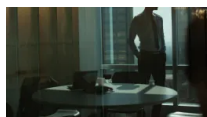
a month or two to see if there's any notable difference. They could drop it if they decide reaching highway speeds in six seconds, instead of 5.1 seconds, was good enough.

But automakers need to be careful not to turn off customers by charging extra for capabilities that the vehicles, physically, had to begin with, like powerful motors. Customers might see that as "a bit of a cheat," said Alistair Weaver, editor-in-chief at Edmunds.com.

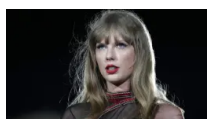
"I bought the vehicle and it's capable of 'X' but in order to realize it, I've got to pay extra for it," he said.

Mercedes draws the line at features for which there are physical buttons inside the car, like heated seats, said Rossmann. Mercedes never wants customers to press a button and get an annoying "Subscribe for use" pop-up on the center screen.

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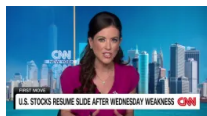


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